



Figure: "Idea Made With AI" — watermark badge indicating the AI-assisted co-creation of this policy report.

Budget-Neutral Redistribution for Singapore

A Comprehensive Proposal for Layered, Fair and Sustainable Prosperity

Introduction

Singapore stands at a crossroads where ensuring equitable growth and social stability is as crucial as ever. This report proposes a **budget-neutral redistribution system** – a set of policies that **do not increase overall government spending** but **reallocate existing resources** to build a more resilient and fair society. The approach is *layered*, meaning it combines multiple complementary strategies: providing basic income stability, suppressing essential living costs, insuring careers and caregiving, and expanding citizens' participation in national wealth. Crucially, these proposals are **realistic and incentive-aware** – designed to uplift Singaporeans without undermining work ethic or fiscal discipline. All new benefits are funded via reallocation of current budgets or efficiency gains, **with no net increase in total spending**. The moral vision is one of *shared prosperity and security* for all – framed in practical terms of fairness and opportunity rather than moralizing or charity. What follows is an accessible yet technically grounded plan, broken into four layers:

- **Income Stability:** A basic income floor or support system so no Singaporean falls into destitution – rewarding work while providing a safety net.
- **Cost Suppression:** Measures to **lower or contain the cost of key essentials** (housing, healthcare, etc.), ensuring that wages and support stretch further.
- **Career & Care Insurance:** Protections for those navigating job transitions or caregiving responsibilities – including unemployment benefits and caregiver support – so careers can be pursued without undue risk or family sacrifice.
- **Capital Participation:** Enabling every citizen to **share in economic growth and wealth creation**, through dividends or asset-building, to reduce wealth inequality over time.

Each layer is detailed with examples, phased implementation from “easy” steps to more “extreme” transformations, and responses to common concerns. By layering these policies, we can construct a robust system: **a stable income floor, lower living costs, buffers for life changes, and a stake in the nation's wealth**. This cohesive approach will strengthen social cohesion and future-proof Singapore's prosperity – *all within our existing budget*.

Layer 1: Ensuring Income Stability for All

The first layer establishes a foundation of **income stability** – a guarantee that every Singaporean has a minimum level of income to cover basic needs. This is not about eliminating hard work or ambition; it is about ensuring **no one is left behind** in a wealthy society, and that people can weather short-term setbacks without falling into poverty. Importantly, an income floor can be structured to **reward work and encourage self-improvement** rather than creating dependency. Singapore already has elements of this in place, such as the Workfare Income Supplement (WIS) which tops up low wages. Since 2007, over S\$12.7 **billion** has been paid out through Workfare to more than 1.1 million lower-income workers ¹ – a significant commitment showing that income support is not alien to our system. We propose to build on and broaden these efforts in a budget-neutral way.

Key Components – Income Stability:

- **Universal or Negative Income Tax Schemes:** Singapore can introduce a modest **unconditional basic income** or a **negative income tax** for the lower-income bracket. For example, a **guaranteed monthly payment** could be given to all adult citizens, and those above a certain income would effectively return it via taxes. This ensures everyone gets a baseline support, while higher earners finance the system – maintaining budget neutrality. A temporary pandemic-era proposal, the Majulah Universal Basic Income (MUBI), showed the feasibility: it would have paid \$110 per week to all citizens for 12 weeks, financed by adjusting income tax rates ² ³. Our proposal is permanent but similarly *self-funding* through the tax system.

- **Strengthened Workfare and Wage Supplements:** In the near term, **expand and simplify Workfare**. Rather than multiple overlapping grants (Workfare, Silver Support for seniors, GST Vouchers), we can **unify them into a single monthly Basic Income Supplement** for those in need. This streamlining cuts administrative costs and ensures consistent support. We can also remove overly stringent criteria that exclude vulnerable groups. For instance, today Workfare targets roughly the bottom 20% of earners ⁴; a reformed scheme could gradually expand coverage to more lower-middle-income workers, tapering the benefits as incomes rise (so there's no sudden loss of support with a small pay increase). This **encourages work** – since every extra dollar earned would still make someone better off, on top of the supplement.

- **Explore a Minimum Living Wage (No Budget Cost):** In parallel, Singapore can implement a **minimum living wage** as a complement to income supplements. This is effectively a *zero-budget* way to raise incomes, by requiring employers to pay at least a baseline salary for full-time work. Various figures have been suggested; for example, some have called for a **S\$2,250/month “living wage”** to ensure basic needs and modest savings are attainable ⁵. By phasing in a reasonable wage floor (starting with sectors that can adapt, as we've done with Progressive Wage Model), we reduce the number of people needing government top-ups in the first place. This policy must be calibrated to avoid job loss, but international experience shows that when set carefully, wage floors boost productivity and reduce reliance on social assistance.

Implementation Pathway – Income Stability (Easy to Extreme):

1. **Stage 1 (Easy Win): Enhance Existing Schemes.** Immediately increase Workfare payouts and broaden eligibility slightly using funds saved from consolidating programs. For example, redirect a portion of budget currently used for one-off GST vouchers into a regular monthly supplement. Pilot a negative income tax in one sector (e.g. gig economy workers) to guarantee a minimum monthly earning.

2. **Stage 2 (Moderate): Basic Income Supplement.** Merge Workfare, Silver Support, and other cash aids into a single **Basic Living Income** disbursed to all citizens up to a middle-income threshold. This could provide, say, a baseline of **\$500 per month** for adults with no other income, tapering off as income rises. The funding comes from repurposing the existing Workfare budget (which is already several billion over a few years ¹) and trimming lower-priority expenditures (more on funding in later sections). At this stage, introduce a modest **partial universal payment** – e.g. a small **annual dividend for every citizen** (perhaps \$300/year initially) financed by any budget surplus or efficiency savings. This familiarizes the public with universal support while remaining affordable.

3. **Stage 3 (Ambitious/Extreme): Move to Full Universal Basic Income.** In a bold reform, implement a **Universal Basic Income (UBI)** that covers fundamental living costs for every Singaporean adult, regardless of income. For illustration, this could be on the order of **\$800-\$1000 per month**. To maintain budget neutrality, it would be paired with tax reforms: for example, eliminating certain tax reliefs and subsidized schemes that become redundant (since UBI covers needs directly), and introducing slightly higher taxes on high incomes or wealth – effectively transferring existing outlays and some private wealth into the UBI fund. International research suggests a UBI at this level can significantly reduce poverty and anxiety without eroding work incentives ⁶. Singapore can tailor the amount to what our reallocated budget can sustain, potentially using a portion of returns from investments (see Layer 4) to fund it. This *extreme* stage would be a long-term goal – essentially rewriting the social contract – so it would be approached carefully after evaluating the earlier stages' outcomes.

Throughout these changes, **incentive-awareness** is paramount. The schemes will be designed so that working an extra hour or getting a raise will always leave someone better off than before – avoiding welfare traps. In fact, by providing stability, these measures **encourage positive risk-taking** (like switching to a better job or starting a business, knowing a safety net is there). The moral basis for an income floor is simple: in a prosperous nation, *everyone* deserves a basic standard of living as a right of citizenship. But we frame it not just as charity, rather as **an investment in human capital** – freeing people to upgrade their skills, care for their families, and contribute to society in the long run.

Layer 2: Suppressing Essential Costs

The second layer addresses the other side of the equation: **the cost of living**, especially for essential needs like housing, healthcare, education, transport, and food. If these costs spiral, any income support must chase a moving target. Conversely, **keeping fundamental costs affordable** greatly amplifies the value of wages and subsidies. Singapore has a strong track record in some areas – for instance, heavy subsidies in public housing (HDB) and healthcare (through MediShield, MediSave, government polyclinics) have generally kept basics within reach. However, in recent years Singaporeans have voiced concerns that the cost of living is rising faster than incomes, squeezing especially young families ⁷ ⁸. This layer of reform uses policy tools to **directly reduce or stabilize prices** that households face, effectively **“giving a raise” to everyone without spending a dollar**, or by smart reallocation of existing funds.

Key Components – Cost Suppression:

- **Housing Affordability Reform:** Housing is typically the largest expense. We propose making new public housing flats much cheaper by **removing the land cost charge** from HDB pricing. Currently, the government prices HDB flats including a notional market land cost, then gives subsidies to buyers – a roundabout approach that results in high published prices and then “deficits” in the housing budget due to those subsidies ⁹ ¹⁰. Eliminating the land cost markup for new flats would dramatically lower flat prices (by several hundred thousand dollars in many cases ¹¹), **saving young families about \$300,000** over their lifetime housing costs ¹¹. Importantly, this can be done **budget-neutrally**: while the government forgoes some revenue (less money going into past reserves via land sales), it also spends far less on housing grants and doesn't need to incur HDB losses. Analyses suggest the net

impact on Singapore's national wealth accumulation would be minimal ¹². In other words, we simply let current generations benefit more directly from public land assets, without “raiding” reserves in any irresponsible way. Housing payments would become lower, meaning Singaporeans can channel their income or CPF to other needs (or save for retirement).

- **Healthcare and Education Cost Control:** Singapore's healthcare financing already blends personal responsibility with heavy subsidies. To further suppress costs, the government could **cover basic health insurance premiums for all citizens using existing returns on investment**. In fact, it has been noted that just using the budget set aside from our sovereign fund earnings would be enough to pay every Singaporean's MediShield Life and CareShield Life premiums in full ¹³. This would relieve households of an unpredictable but essential expense (premiums often rise and eat into retirement funds). Similarly, education up to tertiary level can see **fees capped or reduced** by reallocating development budgets – essentially treating human capital as the priority “infrastructure.” Singapore spends generously on education, but more of it can go into direct support for students (bursaries, free diploma programs, etc.) *without raising total spending* by trimming less urgent projects.

- **Utilities, Transport, and Food:** Many daily expenses are influenced by government policy (fees, taxes, market structure). Cost-suppression measures include: temporarily **freezing further increases in government-controlled fees and taxes** during high inflation periods (e.g. recent hikes in GST, water price, transport fares could be paused or staggered ¹⁴); expanding utility rebates for lower-income households (paid for by the existing budget surplus in utility companies ¹⁵); and ensuring competitive markets for necessities. For instance, re-evaluate the Social Enterprise Hawker Centre model that inadvertently raised hawker food prices ~30% in two years ¹⁶ ¹⁷ – perhaps by reverting to simpler hawker centre management to keep food affordable. These interventions involve *policy tweaks and better use of current funds*, not necessarily new spending.

Implementation Pathway – Cost Suppression (Easy to Extreme):

1. **Stage 1 (Easy Win): Immediate Relief and Freezes.** Announce a **moratorium on increases** in government-administered costs (GST is now at 9% – commit to no further hikes; freeze planned public transport fare increases for a period; hold off any utility tariff hikes beyond cost). Simultaneously, deploy existing **contingency funds** to enhance subsidies: e.g. increase the next U-Save (utilities rebate) vouchers and CDC vouchers for groceries by 50% for one year, funded by this year's budget surplus. These are quick moves that don't bust the budget (they use surplus or reallocate expected increases back to consumers) and signal to the public that cost-of-living is being tamed.

2. **Stage 2 (Moderate): Structural Price Reductions.** Implement the **HDB land cost reform** for all new Build-to-Order flats going forward. This would be a structural change: land for public housing is treated as social capital – the government accepts lower transfers to the reserve in exchange for **lower HDB selling prices and thus lower housing subsidies needed** ¹⁸. The housing budget could even *save* money in the long run since fewer or smaller grants are required when flat prices are moderated. To address fairness, the policy can start with upcoming new towns or specific flat types to avoid shocking the resale market (existing owners' equity will be considered in transition). Also in this stage, use a portion of the annual Net Investment Returns (NIR) – which is about **\$50 billion in earnings, of which only half (\$25B) is currently budgeted for use** ¹⁹ ¹³ – to **fully pay basic health insurance premiums for citizens**. This means every Singaporean has health coverage without out-of-pocket premium costs, a huge cost relief for especially the elderly and self-employed. The money is already available in the budget's NIR allocation; it's a matter of prioritizing it for this purpose ¹³. Any remaining funds can bolster education bursaries and childcare subsidies to cap what families pay.

3. **Stage 3 (Ambitious/Extreme): Universal Essential Services.** In a truly transformative scenario, Singapore could make several critical services **free at point of use** for all residents, funded entirely through existing taxation and reallocation. For example, **universal free public transport** (buses and trains) could be provided by using the current transport subsidies plus congestion pricing revenue – effectively transferring the cost from individual riders to a general cost (this has been discussed in some global cities as a way to encourage public transport use). Another example: provide **free or nominal-**

cost basic childcare for all young children, funded by merging and optimizing current family support schemes. These moves require more significant shifts – money would come from reducing less critical expenditures (for instance, large defense procurement projects could be rescheduled or trimmed, given Singapore's defense budget is sizeable). They are “extreme” in ambition but would dramatically lower the day-to-day expenses for families, essentially functioning as a big indirect income boost. Before implementing such ideas, rigorous studies would ensure that any efficiency gains or cuts won't compromise other national needs. The result, however, would be a society where basics like housing, healthcare, education, and transport are so affordable that fewer direct cash handouts are needed over time.

By suppressing costs, we **remove pressure on wages and aid** – a form of “pre-distribution” where the economy's structure yields fairer outcomes *before* taxes and transfers. The moral framing here is about **fair pricing and equity**: it is only fair that necessities are reasonably priced in a rich nation. We also appeal to social solidarity – for instance, treating land not just as a revenue source but as a common good to help citizens build homes. This layer does not villainize market forces, but recognizes that for certain goods (housing land, basic healthcare) the government's role is to safeguard affordability. Critics might worry about market distortions; our approach is to calibrate interventions so they correct clear market excesses (like runaway land costs or monopolistic fees) without heavy-handed controls on the broader economy. And importantly, each measure is funded by either foregoing an excessive charge (like land cost) or using *existing* state resources (investment returns, current surpluses) – **staying within budget while benefitting the many** ¹² .

Layer 3: Career and Care Insurance

Life is full of changes – losing a job, switching careers, needing to care for an ailing parent or young child. These transitions often cause financial stress or force people to drop out of the workforce. The third layer of our system sets up “**career and care insurance**”: social insurance programs that protect individuals during these critical periods, without penalizing them for life events. In essence, this means establishing a **robust unemployment benefit scheme** and a **support system for family caregivers**. Singapore has traditionally relied on steady employment and family support as bedrocks; however, with rapid economic shifts and an ageing population, even resilient workers and devoted caregivers need some backup. Notably, Singapore is *already moving in this direction*: in 2025 the government rolled out, for the first time, a temporary unemployment support scheme, offering up to **\$S\$6,000 over six months** to retrenched workers ²⁰ . And various grants (e.g. Home Caregiving Grant) assist those caring for elderly family members. We propose to formalize and expand these into reliable insurance programs. Crucially, these would be **funded by contributions or reprioritization – not by permanently enlarging the budget**. Think of it as a *safety trampoline* that bounces people back into employment or keeps caregivers from financial free-fall, all while encouraging personal responsibility and retraining.

Key Components – Career & Care Insurance:

- **Unemployment (Redundancy) Insurance**: Singapore can implement a national **unemployment insurance scheme** that workers and employers jointly pay into during good times, which pays out if a worker is laid off. The concept has been proposed by economists and even in Parliament before. In fact, the Opposition Workers' Party in 2016 suggested a Redundancy Insurance plan with tiny premiums – **0.1% of monthly salary shared between employer and worker** – that would fund payouts of **40% of a worker's last-drawn salary for up to 6 months** if they are retrenched ²¹ ²² . Under that proposal, a worker earning \$2,500 would receive about \$1,000 per month for half a year, buying crucial time to find a suitable new job rather than any job out of desperation. Notably, low-wage workers would get a higher replacement rate (the scheme included top-ups so that those earning under \$500/month would get 100% of their last income during unemployment) ²³ . Our plan draws on this model: **minimal contributions** (which act like a forced savings that pools risk) and **moderate temporary benefits**.

Since contributions fund the payouts, the fiscal burden on the government is small – mostly just initial setup and backstop in case of severe recessions. The recent government pilot (the \$6,000 Jobseeker Support) shows political will to support the jobless ²⁰; institutionalizing it as an insurance scheme makes it financially sustainable and fair (everyone contributes during employment, everyone is protected during unemployment). Such a system **incentivizes upskilling** – we can require claimants to attend SkillsFuture courses or employment coaching, as was the practice with COVID-19 support. It treats **career disruption as a manageable risk, not a personal catastrophe**.

- **Caregiving Support Insurance:** Similarly, we propose a structured support for individuals who have to leave the workforce or reduce hours to care for family. Many caregivers in Singapore are middle-aged women looking after elderly parents or young children, and they often sacrifice income and future CPF savings. Building on existing grants, we envisage a **tiered caregiver benefit**: for example, if a person quits their job or goes part-time to provide full-time care to a family member, they could receive a *monthly stipend* that replaces a portion of their lost income. The Workers' Party 2025 manifesto floated exactly this idea – **tiered payments for caregivers who reduce work or quit to provide care** ²⁴. Those who leave employment entirely to care might get a larger payout, while those who go part-time get a smaller one, calibrated to encourage sharing of care duties rather than all-or-nothing. We also recommend **extending support beyond just severe disability cases**: even caring for someone with moderate dementia or a special-needs child involves costs and lost opportunities long before they meet current strict criteria. The aim is to recognize caregiving as *valuable work* and ensure caregivers don't face financial ruin for doing the right thing. This can be funded by expanding the current **Home Caregiving Grant**, which today gives \$200–\$400 per month to eligible families ²⁵. For instance, the opposition PSP suggested raising this grant to **\$1,250/month** – a significant boost ²⁶. Our plan could start lower but tier up based on income loss. Funding could come from reallocating some healthcare budget (preventing burnout and hospitalizations by supporting home care) and a small reinsurance premium in CPF for working adults (effectively, each of us pays a little so that if any of us needs to become a caregiver, we receive support).

- **Return-to-Work and Retraining Programs:** As part of this insurance layer, strengthen programs that help people re-enter the workforce. For unemployed persons, this means robust retraining grants and job placement support (which Singapore already does via Workforce Singapore and SkillsFuture). For caregivers, introduce **paid return-to-work schemes** – e.g. a program that offers a *six-month wage stipend* to employers who hire someone who's been out of the workforce for caregiving duties. This was also suggested (tax relief for firms that employ caregivers returning to work) ²⁷. It incentivizes employers to offer flexible or re-entry positions. The funding for this is modest and can be carved out of existing manpower development funds. The benefit is that it prevents long-term dependency – our goal is to help people bounce back after the period of support.

Implementation Pathway – Career & Care Insurance:

1. **Stage 1 (Easy Win):** *Launch a Pilot Unemployment Benefit & Expand Grants.* Make the current temporary Jobseeker Support Scheme permanent in some form, **without increasing budget**, by funding it through a small reallocation from other social support that might overlap. For example, the government could consolidate the short-term COVID-era relief budgets into this. Simultaneously, **raise the Home Caregiving Grant amounts** to at least \$600 (the government is already moving from \$400 to \$600 by April 2026 for some cases ²⁵) and relax the means test slightly (so middle-income sandwich-class caregivers qualify). These initial moves show immediate goodwill and give us data on uptake and cost.

2. **Stage 2 (Moderate):** *Implement Contributory Insurance Schemes.* Pass legislation for an **Employment Security Fund** where all employers and employees contribute, say, 0.1–0.2% of wages (similar to CPF in mechanism, but a tiny fraction). This fund will pay unemployment insurance benefits as described. Because contributions scale with the economy, it's budget-neutral to government – essentially a mutualized social fund. The government's role is to administer and top-up the fund in severe recessions if needed (which can be done from reserves or fiscal switches, as one-off crisis measures). In parallel,

introduce a **Caregiver Savings/Insurance Scheme**: for instance, allow workers to voluntarily contribute some CPF or an extra 1% that goes into a personal *care leave account*, matched by the government from existing eldercare budgets. If they need to stop work to care for someone, this account or pool provides them a steady payout for up to 6 months or a year. This is akin to how maternity leave is partly funded by government – we extend the principle to other caregiving. At this stage, also roll out those return-to-work wage subsidies for caregivers and long-term unemployed, funded by the Ministry of Manpower's allocation for upgrading (which is justified as investing in human capital).

3. **Stage 3 (Ambitious/Extreme): Universal Coverage and Portability.** Here we envision a future where **no Singaporean fears the financial fallout of job loss or caregiving**. Unemployment insurance could be made **mandatory for all workers including gig workers and self-employed** (perhaps through CPF contributions or specialized schemes), ensuring universal coverage. The payout levels could be raised to, say, **50-60% of last drawn salary for 6 months** (more generous, similar to European systems), funded by the now-mature insurance fund and, if needed, a reallocation from general welfare if the fund runs deficits in downturns. For caregiving, a formal **Paid Care Leave** entitlement could be established: for example, every citizen might be entitled to **6 months of paid caregiver leave** in their lifetime (at a certain percentage of their salary), drawing from a central insurance pool. This mirrors how some countries credit citizens with paid leave for family care. Funding here might require diverting some of the increased healthcare budget (because better home care can reduce expensive hospital stays – an argument to justify using healthcare funds to pay for caregiver leave). These are more radical in that they create new social rights, but by this stage, society may recognize them as essential due to ageing demographics. Throughout, we maintain budget neutrality by **socializing the costs via contributions and reallocations**, rather than relying on general tax hikes. The government might also tighten less critical spending (for instance, scale back special grants elsewhere once basic insurance is in place).

This layer's moral foundation is about **dignity in work and family life**. We acknowledge that **losing a job should not mean losing dignity** – society can collectively insure each other against this risk, much like we pool risks for healthcare. Likewise, **caring for loved ones is valuable labor** that benefits society (reducing state care costs, nurturing the next generation), so it deserves some societal support. We frame it as an earned benefit (you contribute and hence you can draw out) rather than a handout. A common criticism is “won't unemployment benefits make people lazy?” The evidence from around the world, and even Alaska's dividend experience, suggests if benefits are modest and time-limited, people still strive to work ⁶. In fact, with training conditions attached, such schemes can improve re-employment in better jobs. As for caregiver support, critics might ask if it encourages people to leave work – our tiered system is designed to *encourage shared caregiving and eventual return to work*, by providing just enough support to get through a crisis, not an indefinite salary. The contributions required are very small (a fraction of wages), which we believe is a **worthy trade-off for peace of mind** in a volatile economy.

Layer 4: Capital Participation for Every Citizen

The final layer looks to the long term: **capital participation**, meaning giving citizens a direct stake in the nation's wealth and the returns on capital, not just a wage from labor. Singapore's economy has grown impressively, but like many advanced societies, wealth has accumulated very unevenly – those who own assets (property, stocks, businesses) have seen outsized gains, while those relying only on salaries can fall behind. To truly **“level up” prosperity sustainably**, we propose mechanisms to broaden capital ownership or dividends, **without increasing budget spending** (in fact, some mechanisms use existing national wealth). This can take the form of **universal asset grants, enhanced savings schemes, or regular dividends from public wealth**. The idea is incentive-compatible: when citizens have a stake, they feel invested in the country's success and stability. Singapore already does a mild version of this through CPF (forced savings that earn interest) and through occasional “Growth

Dividends” – one-off cash bonuses given to all during exceptionally good budget years. We envision a more structured, persistent system. Think of it as **every citizen being a shareholder of Team Singapore** – and reaping dividends accordingly.

Key Components – Capital Participation:

- **National Dividend (Citizens’ Dividend):** One straightforward approach is to distribute a **national dividend** to all citizens, funded by the returns on Singapore’s substantial reserves and investments. Singapore’s sovereign wealth funds (GIC and Temasek) and other investments generate significant income each year. By constitutional rules, up to 50% of these net investment returns (NIR) can be used in the annual budget ¹⁹. In recent years, this NIR contribution has been about \$20–\$25 billion, of which not all is actually spent (portions often get set aside in endowment funds or not utilized fully ²⁸). We propose allocating a share of the NIR each year to be paid equally to all Singaporean citizens as a dividend. This is akin to how **Alaska pays its residents an annual dividend from oil revenues**. In Alaska’s case, a constitutionally established fund invests oil royalties and pays out typically **\$1,000–\$2,000 per person per year** (for example, \$1,114 in 2021) ²⁹. Studies found this reduced poverty and income inequality and had **no negative effect on work rates** ⁶. Singapore could decide on a sustainable dividend per citizen based on a prudent portion of returns – say, an annual payout of a few hundred dollars at first. For instance, even a \$300 per citizen dividend would cost around \$1.1 billion (with ~3.7 million citizens), which is a fraction of the NIR. This can be funded *within the existing budget* by designating part of the NIR for direct distribution (effectively a reallocation from spending on, say, select development projects to spending on people). Over time, if our reserves grow, the dividend can grow too. The moral principle here is that **the wealth amassed by the nation (through collective sacrifice and prudent governance) should directly enrich the lives of the people** – a tangible sharing of prosperity.

- **Universal Capital Grants or “Baby Bonds”:** Another mechanism is to give each citizen a **one-time capital endowment** at a certain life stage, funded by either long-term budget planning or specific levies on wealth. The idea of a “stakeholding grant” has been discussed abroad – the UK, for example, implemented the **Child Trust Fund** in 2003, which gave every newborn a deposit that they could access at 18 ³⁰ ³¹. That program was eventually discontinued, but it demonstrated feasibility. Policy thinkers (like LSE’s Julian Le Grand and economist Tony Atkinson) have proposed grants of around £5,000–£10,000 for every young adult, financed by inheritance or wealth taxes ³² ³³. In the US, proposals for “baby bonds” would give larger amounts (scaled by family income) to reduce racial wealth gaps ³⁴. For Singapore, a calibrated approach could be: at age 21 or 25, every citizen receives a **“Majulah Capital Grant”** (for example, S\$10,000) to use for productive purposes – be it further education, starting a business, buying a home, or investing for retirement. How to fund this without new spending? One way is to earmark certain revenue streams (like estate duties if reintroduced, or a portion of land sales revenue) into a **Citizen Fund** over time. Another is to gradually build up a fund from budget surpluses specifically for these grants. Since Singapore often runs operating surpluses and adds to reserves, we can consciously direct a slice of those surpluses to the people in this targeted way. It’s essentially converting part of *collective* savings into *individual* seed capital. The grants could be higher for lower-income individuals (a progressive element) or uniform for all as a symbol of shared citizenship. This policy would *technically* appear as an expenditure in the year it’s given, but if planned as part of the normal budget (offset by, say, closing some high-end tax loopholes or luxury good taxes), it remains neutral in net effect.

- **Inclusive Ownership & Savings Schemes:** Beyond direct grants, we can facilitate broader **ownership of assets**. For instance, encourage or require large Government-Linked Companies (GLCs) or state enterprises to **share a small portion of profits or equity with citizens**. This could be structured as special shares that pay dividends into citizens’ CPF accounts, or discounted share purchase programs for locals. It’s a way to democratize capital income. Additionally, strengthen incentives for personal saving and investment: expand schemes where the government **matches savings** of lower-income people (the CPF Matched Retirement Savings Scheme is a start). Or create a new **Singapore**

Investment Bond that citizens can purchase with guaranteed returns slightly above CPF rates – effectively letting citizens partake more directly in GIC/Temasek's returns with no risk. None of these necessarily increase government spending; they either leverage existing company profits or temporarily use government funds that are later returned (in the case of bonds). Over time, higher personal savings reduce the need for social spending, which is fiscally positive.

Implementation Pathway – Capital Participation (Easy to Extreme):

1. **Stage 1 (Easy Win):** *Begin Annual Dividend at Modest Level.* The government can kick off a **small annual dividend** to all citizens in the very next budget, framed as a “prosperity share.” For example, allocate \$1 billion from the budget surplus to give every citizen roughly \$300 (varying slightly by age or income if desired, though universality has its appeal). Singapore has done similar one-time SG Bonus payouts in the past when finances allowed – formalizing it as an annual expected dividend builds public support. At the same time, announce an **enhanced savings credit** for lower-income groups: for every dollar they voluntarily contribute to CPF or an approved investment account, the government will match 50 cents up to a certain limit. This can be funded by repurposing funds from existing matched savings programs (like the existing Retirement Sum Topping-Up grants) and consolidating them for more impact. These steps are small enough to fit within current expenditure margins (especially in years of good revenue).

2. **Stage 2 (Moderate):** *Constitutional or Policy Commitment to Shared Wealth.* Establish a **Citizen's Wealth Fund** (or expand the existing national reserves framework) where a fixed portion of net investment returns is dedicated to citizen payouts. For instance, legislate that **10% of the Net Investment Returns Contribution (NIRC)** must go directly into the pockets of citizens as dividends. This could raise the annual dividend to perhaps \$500–\$800 per person (depending on returns and population) without increasing the overall budget – it's simply carving out from the already-allowed spending amount ¹⁹. Simultaneously, introduce the **capital grant for young adults** on a pilot basis: perhaps start with a \$5,000 grant for all 25-year-old citizens in a given year, funded by a specific capital source (say, the revenue from Stamp Duty on very high-end property transactions, which can be quite substantial in boom years). Monitor the outcomes – how do recipients use it? Does it improve their economic prospects? This stage may also include a requirement that large firms offer employee stock ownership plans (ESOPs) or profit-sharing bonuses; while not directly a government budget item, it's a regulatory push for inclusive capitalism. The government can lead by example, perhaps allocating a small % of Temasek's yearly profits into a fund that pays to citizens. These measures start to bake capital participation into the fiscal framework and corporate practices, moving beyond ad-hoc bonuses.

3. **Stage 3 (Ambitious/Extreme):** *Every Citizen a Stakeholder.* Here we fully realize the vision: **robust annual dividends plus a significant one-time capital stake for each citizen.** For example, by this stage the **Universal Citizens' Dividend** could be ~\$1,000+ each year (not far-fetched – Alaska has done similar for decades ²⁹). Funding could come from a combination of investment returns and perhaps new wealth taxes that replace other taxes – for instance, if a mild wealth tax on the ultra-rich is introduced, use it to amplify the dividend (so it's politically palatable: the narrative is converting a wealth levy into broad-based benefit). On the one-time grant, we could solidify a **“Citizen's Launch Grant”** of, say, \$10,000 at age 25 for every Singaporean. Financing this permanently might involve creating a **sovereign wealth sub-fund** that accumulates contributions from certain sources (like land sales or a fraction of GST revenue earmarked for social equity) from each year's budget so that it yields enough to pay out to each cohort when they hit 25. This essentially plans ahead so that by the time today's babies reach young adulthood, their \$10k (or whatever amount, adjusted for inflation) is ready and doesn't need new taxes then. While this sounds bold, note that other nations are actively discussing such ideas – the UK's 2018 Commission on Economic Justice recommended a £10,000 universal minimum inheritance for young people funded by a sovereign wealth fund ³⁵. For Singapore, it could be framed as strengthening our social compact: everyone has a tangible stake and startup capital. Under this extreme scenario, the overall budget still remains balanced by design: dividends are paid from returns, not principal; grants are pre-funded through designated revenues or reallocations (and

may replace other forms of assistance). Ultimately, the presence of widespread capital ownership could lessen demand for other welfare in old age, etc., creating a virtuous cycle.

The moral framing of capital participation is about **fairness across society and generations**. It says: *When the nation prospers, every citizen should directly prosper too*. This isn't about undermining meritocracy – people will still get ahead by talent and effort – but about ensuring a baseline of asset ownership or passive income that can provide security and opportunity. Common criticisms include fears that “giving out money” reduces the drive to work or that it eats into the sacred reserves. Our response: the evidence from Alaska and elsewhere counters the work disincentive concern ⁶, especially when payouts are moderate. As for reserves, we explicitly stay within sustainable returns – essentially sharing the *fruit* and not the *tree*. In fact, some argue hoarding excessive reserves while present generations struggle is unfair ³⁶ ³⁷. A controlled dividend/share scheme uses our savings *as intended*: to improve citizens' lives today without endangering tomorrow. It can also bolster national unity – people feel the nation's wealth is *their* wealth (because tangibly, it is).

Anticipating Criticisms & Concerns

Any ambitious redistribution plan will invite important questions. We address the most common criticisms here to show that this proposal is indeed incentive-aware, realistic, and prudent:

- **“Won't all these handouts make people lazy or reduce the work ethic?”**

Response: The goal is to empower, not pamper. The income support and dividends proposed are *modest relative to average incomes* – just enough to ensure basic needs and security. International studies, including Alaska's dividend program and other cash transfer trials, have found **no significant reduction in work effort** when people receive moderate universal payouts ⁶. In Singapore's context, Workfare payouts and Silver Support haven't made anyone quit their jobs – they help people take on work that pays little. Unemployment insurance is time-limited and requires past contributions, so it's an earned benefit, not a free ride. In fact, with better security, people may take *more* initiative – start a business, switch to a role where they can be more productive – because failure is less devastating. The policies are designed with phase-outs and conditions (e.g. requiring training during unemployment) to keep incentives aligned. A living wage simply ensures work is rewarded adequately, which can boost morale and productivity. In short, **dignity and motivation actually rise** when people aren't living in fear of the next bill.

- **“How will we pay for all this without raising taxes or blowing the budget? It sounds too good to be true.”**

Response: We have been careful to make every proposal **budget-neutral** by identifying corresponding savings or reallocation. For instance, the **housing affordability reform** saves money by cutting out an internal transfer (land cost) that was generating deficits and requiring subsidies ⁹ ¹⁰. The **unemployment insurance** is funded by tiny payroll contributions, not general taxes ²¹. **Caregiver allowances** repurpose existing health and social care funds, recognizing that supporting home caregivers can reduce costly institutional care. The **national dividend** uses only the permitted investment returns and in fact just diverts some spending from projects to people ¹⁹. And there are areas of potential efficiencies: for example, if we reduce duplicative schemes (merging them into a basic income), we save on administrative overhead. Singapore's budget consistently runs operating surpluses and channels a lot into reserves; we are simply **utilizing a bit more of those surpluses for current needs** – and still within sustainable limits. Also, some “extreme” measures could be funded by smart tax reforms (not necessarily increases): e.g. a reintroduced inheritance tax on multi-million estates could fund the capital grants for youths, **without affecting 99% of Singaporeans**. We emphasize that

no across-the-board GST or income tax hike is needed – it's about *who* and *what* we fund, not how much more. Of course, all plans would undergo rigorous cost modelling. If absolutely necessary, phased implementation allows adjustment to keep the budget balanced.

- **“Is this fair? Aren't we giving people something for nothing, or redistributing from one group to another unjustly?”**

Response: Fairness is a core principle of this proposal. We believe it's fair that in a developed nation, **everyone can meet basic needs and share in progress**. Currently, many low-income or vulnerable Singaporeans work very hard and yet struggle due to circumstances beyond their control (global shifts, family obligations, health issues). Our system already quietly redistributes – via Workfare, public housing grants, healthcare subsidies – because as a society we value not leaving people to fall through the cracks. We are making that support **more systematic, transparent, and universal** so that it doesn't stigmatize recipients or miss those in need. The moral framing is *solidarity*: each of us contributes in different ways at different times (through work, taxes, caregiving), and each should benefit when in need. Importantly, those who are well-off will also get something (like the universal dividend) – so it's not a pure “take from A give to B,” it's creating common benefits. Even wealthier citizens can appreciate a dividend or the knowledge that if they ever go through hard times, the safety net is there. Additionally, many measures actually enhance fairness by leveling the playing field (for example, a capital grant gives every young adult – not just those from rich families – some starter funds ³³). To the well-off who may pay a bit more or receive relatively less, we argue that social stability and a cohesive society are in *everyone's* interest. A system seen as broadly fair prevents the kind of polarization and resentment that plague many countries.

- **“Will this erode Singapore's competitiveness or fiscal health in the long run? We became successful by being prudent – are we throwing that away?”**

Response: Prudence remains central. We are not proposing to spend more than we have – only to spend wisely on our people. In fact, investing in human capital and social stability **enhances competitiveness**: a society with lower stress, better health, and opportunities for all can be more productive and innovative. For example, **cost suppression** in housing means our workforce doesn't need as high a salary just to live, which could keep business costs manageable while improving quality of life. Ensuring someone can retrain if retrenched means we better utilize our human resources, rather than wasting talent. Far from being socialist folly, ideas like basic income or national dividends have been floated by pro-market thinkers as ways to simplify welfare and spur entrepreneurship (if you have a small guaranteed income, you might take the risk to start a new venture). Regarding fiscal health: Singapore will still save for the future, just perhaps not *over-save* at the expense of current needs. Remember that even after using more of investment returns for people, we'd still be reinvesting at least half for the future (the current rule) – and as the economy grows, so do the reserves in absolute terms. Also, with mechanisms like social insurance funds, we actually reduce direct fiscal burden by sharing it among stakeholders. Our debt levels will remain zero for domestic spending (we're not advocating borrowing for these policies). If anything, by proactively addressing inequality and insecurity now, we may **avoid larger costs later** – such as social unrest, public health crises, or an unprepared aged population needing expensive interventions. Ultimately, competitiveness is not just low taxes and efficiency; it's also having a stable, educated, and motivated society. Our proposals seek to balance economic vitality with social resilience – a combination that should keep Singapore exceptional.

- **“What if there's a recession or crisis? Will these commitments bankrupt us or be rolled back?”**

Response: Flexibility is built in. Much of the support adjusts automatically with the economy. For

instance, unemployment insurance payouts will rise in a recession when more are jobless, but the fund collects contributions in good times and the government can temporarily redirect some spending from less urgent areas (we did this during COVID-19 via the Resilience Budgets). A universal dividend could be **pegged to available investment returns** – if returns dip, the dividend might be a bit smaller, which people will understand as it's transparent. By contrast, our current system of ad-hoc special transfers during crises is less predictable; institutionalizing the support actually makes planning easier. And nothing stops the government from seeking the President's approval to use past reserves in an *extreme* crisis (just as it does now) – that safety valve remains. Essentially, our plan doesn't use more resources in total, it just reallocates them, so in a downturn we would face similar trade-offs as we do today (e.g. delay some infrastructure to fund social support). In fact, with automatic stabilizers like basic income or dividends, a recession might be softened because people still have spending money, helping the economy recover. So we see this system as crisis-resilient.

Conclusion

This comprehensive, layered redistribution system offers a vision of **Singapore as a truly inclusive society** where prosperity is shared in a sustainable, incentive-aligned way – *all without expanding the overall budget*. By providing **income stability**, we give every citizen a secure platform to stand on. By **suppressing key costs**, we ensure that hard-earned wages and stipends go further in meeting daily needs. Through **career and care insurance**, we protect the rhythm of life – empowering people to navigate job transitions or family duties without undue hardship. And via **capital participation**, we invite all Singaporeans to take part in the nation's wealth creation, forging a stronger sense of ownership and unity.

These reforms are ambitious but grounded in practicality. Each layer has an “easy” entry point that we can implement almost immediately – be it topping up Workfare, freezing cost hikes, introducing a basic jobseeker benefit, or giving a small dividend. Step by step, we can escalate to more impactful stages as we observe outcomes and fine-tune the policies. The report has demonstrated examples of similar ideas working elsewhere or being seriously considered (from Alaska's fund to UK's baby bonds to our own past proposals) to show that *we are not leaping into the unknown*. We are, rather, **adapting proven concepts to Singapore's context**, guided by our values of prudence and self-reliance even as we enhance solidarity.

In morally framing this agenda, we avoid grand ideologies. The ethic is simple: **everyone deserves a fair chance and basic security**, and those who succeed contribute back to the system that helped them. It's about reinforcing the social compact – citizens support a responsible government with trust, and the government in turn ensures the citizens share the fruits of development. By not moralizing or casting blame, we sidestep unproductive divisions. This is not about “rich vs poor” or “government vs people” – it's *all hands on deck*, refining our policies so that economic growth translates into well-being for all Singaporeans in a visible way.

Finally, consider the intangible benefits: a Singapore where **no one fears medical bills or job loss** to the point of paralysis; where young people can dream big knowing a misstep won't ruin their future; where older folks can retire with dignity; where raising a family is joyful, not a financial terror. These are the hallmarks of a mature, developed society – one that genuinely puts its people at the heart of its success. And we can achieve it **budget-neutrally** by smart governance. In doing so, we would strengthen the moral legitimacy of our economy and pre-empt potential social fractures.

This policy report invites discussion and refinement of the ideas presented. The message is one of optimism: that with thoughtful layering of income support, cost moderation, social insurance, and shared capital, Singapore can lead the world in **next-generation social policy** – combining efficiency with equity. We can show that *fiscal responsibility and compassion are not opposites, but partners*. By reallocating our ample resources wisely, we ensure that every Singaporean has a stake in our nation's continued success, forging a future of shared progress and unity.

Sources: 1 18 13 21 20 24 26 35 29 6

1 4 CPFB | Workfare Income Supplement

<https://www.cpf.gov.sg/member/growing-your-savings/government-support/workfare-income-supplement>

2 3 fass.nus.edu.sg

<https://fass.nus.edu.sg/ssr/wp-content/uploads/sites/8/2020/06/Policy-Paper-on-Majulah-Universal-Basic-Income-7-Apr-2020-Ong-Qiyan-and-Walter-Theseira.pdf>

5 7 8 9 10 11 12 13 14 15 16 17 18 19 28 36 37 Reduce Cost of Living | Leong Mun Wai

<https://leongmunwai.sg/cost-of-living/>

6 29 The Alaska Permanent Fund: A model for a Universal Basic Dividend? - Earth4All

<https://earth4all.life/views/the-alaska-permanent-fund/>

20 Singapore rolls out unprecedented unemployment payouts – will it help? | South China Morning Post

<https://www.scmp.com/week-asia/economics/article/3303345/singapore-rolls-out-unprecedented-unemployment-payouts-will-it-help>

21 22 23 Scheme proposed for retrenched workers to receive payouts in Singapore | Human Resources Online

<https://www.humanresourcesonline.net/scheme-proposed-for-retrenched-workers-to-receive-payouts-in-singapore>

24 26 27 Who Cares for the Caregivers? A GE2025 Manifesto Comparison – SG Assist

<https://sgassist.com/who-cares-for-the-caregivers-a-ge2025-manifesto-comparison/>

25 Home Caregiving Grant (HCG) - SupportGoWhere

<https://supportgowhere.life.gov.sg/schemes/HCG/home-caregiving-grant-hcg>

30 31 32 33 34 35 A Springboard for New Citizens: Universal Basic Capital and a Citizen's Day | LSE Public Policy Review

<https://ppr.lse.ac.uk/articles/10.31389/lseppr.8>